CHAPTER 23

DOCUMENTATION

Chapter Introduction

In the insurance industry, we deal with a large number of forms, documents etc. This chapter takes us through the various documents and their importance in an insurance contract. It also gives an insight to the exact nature of each form, how to fill it and the reasons for calling specific information.

Learning Outcomes

K. Proposal forms
L. Acceptance of the proposal (underwriting)
M. Premium receipt
N. Cover Notes / Certificate of Insurance / Policy Document
O. Warranties
P. Endorsements
Q. Interpretation of policies
R. Renewal notice

After studying this chapter, you should be able to:

j) Explain the contents of proposal form.
k) Explain the premium receipt.
l) Appreciate and explain cover notes and certificate of insurance.
m) Explain terms and wordings in insurance policy document.
n) Interpret the policy warranties and endorsement.

A. Proposal forms

The insurance documentation is provided for the purpose of bringing understanding and clarity between insured and insurer. There are certain documents that are conventionally used in the insurance business. The insurance agent, being the person closest to the customer, has to face the customer and clarify all doubts about the documents involved and help her in filling them up. The insurance company comes to know the customer and her insurance needs only from the documents that are submitted by customer. They help the insurer to understand the risk better.

Agents should understand the purpose of each document involved and the importance and relevance of information contained in the documents used in insurance.

1. Proposal forms

The first stage of documentation is essentially the proposal forms through which the insured informs:

- ✓ who she is,
- ✓ what kind of insurance she needs,
- ✓ details of what she wants to insure, and
- ✓ for what period of time

Details would mean the monetary value of and all **material facts** connected with the subject matter of insurance.

c) Risk assessment by insurer

ii. "Proposal form" is to be filled in by the proposer for insurance, for furnishing all material information required by the insurer in respect of a risk, in order to enable the insurer to decide:

- ✓ whether to accept or decline and
- ✓ in the event of acceptance of the risk, to determine the rates, terms and conditions of a cover to be granted

Proposal form contains information which are useful for the insurance company to accept the risk offered for insurance. The principle of utmost good faith and the duty of disclosure of material information begin with the proposal form for insurance.

The duty of disclosure of material information arises prior to the inception of the policy, and continues even after the conclusion of the contract. (This principle has been discussed in Chapter 2 in detail.)

Example

If the insured was required to maintain an alarm or had stated that he has an automatic alarm system in his gold jewelry showroom, then not only is he required to disclose it, he has to ensure the same remains in a working condition throughout the policy period. The existence of the alarm is a material fact for the insurer who will be accepting the proposal based on these facts and pricing the risk accordingly.

Proposal forms are printed by insurers usually with the insurance company's name, logo, address and the class / type of insurance / product that it is used for. It is customary for insurance companies to add a printed note in the proposal form, though there is no standard format or practice in this regard.

Example

Some examples of such notes are:

'Non-disclosure of facts material to the assessment of the risk, providing misleading information, fraud or non-co-operation by the insured will nullify the cover under the policy issued',

'The company will not be on risk until the proposal has been accepted by the Company and full premium paid'.

Important

Material facts: These are important, essential and relevant information for underwriting of the risk to be covered by the insurer. In other words, these are facts connected with the subject matter of insurance which may influence an insurer's decision in the following:

i. Accepting or not accepting a risk for insurance,
ii. Fixing the amount of premium to be charged, and
iii. Including special provisions in the contract about the conditions under which the risk would be covered and how a loss would be payable.

Declaration in the proposal form: Insurance companies usually add a declaration at the end of the proposal form to be signed by the insurer. This ensures that the insured has filled up the form accurately and understood the facts given therein, so that at the time of a claim there is no scope for disagreements, on account of misrepresentation of facts. This serves the main principle of utmost good faith on the part of the insured.

Example

Examples of such declarations are:

'I/We hereby declare and warrant that the above statements are true and complete in all respects and that there is no other information which is relevant to the application for insurance that has not been disclosed to you.'

'I/We agree that this proposal and the declarations shall be the basis of the contract between me/us and (insurer's name).'

d) Nature of questions in a proposal form

The number and nature of questions in a proposal form vary according to the class of insurance concerned.

i. **Fire insurance** proposal forms are usually used for relatively simple / standard risks like houses, shops etc. For large industrial risks, inspection of the risk is arranged by insurer before acceptance of the risk. Special questionnaire are sometimes used in addition to the proposal form to gather specific information.

   Fire insurance proposal form seeks, among other things, the description of the property which would include the following information:

   - ✓ Construction of external walls and roof, number of story
   - ✓ Occupation of each portion of the building
   - ✓ Presence of hazardous goods
   - ✓ Process of manufacture
   - ✓ The sums proposed for insurance
   - ✓ The period of insurance, etc.

ii. **For motor insurance,** questions are asked about the vehicle, its operations, make and carrying capacity, how it is managed by the owner and related insurance history.

iii. **In personal lines** like health, personal accident and travel insurance, proposal forms are designed to get information about the proposer's health, way of life and habits, pre-existing health conditions, medical history, hereditary traits, past insurance experience etc.

iv. **In other miscellaneous insurances,** proposal forms are compulsory and they incorporate a declaration which extends the common law duty of good faith.

e) Elements of a proposal

i. Proposer's name in full

The proposer should be able to identify herself unambiguously. It is important for the insurer to know with whom the contract has been entered, so that the benefits under the policy would be received only by the insured. Establishing identity is important even in cases where someone else may have acquired an interest in the risk insured (like a mortgagee, bank or legal heirs in case of death) and has to make a claim.

ii. Proposer's address and contact details

The reasons stated above are applicable for collecting the proposer's address and contact details as well.

iii. Proposer's profession, occupation or business

In some cases like health and personal accident insurance, the proposer's profession, occupation or business are of importance as they could have a material bearing on the risk.

Example

A delivery man of a fast-food restaurant, who has to frequently travel on motor bikes at a high speed to deliver food to his customers, may be more exposed to accidents than the accountant of the same restaurant.

iv. Details and identity of the subject matter of insurance

The proposer is required to clearly state the subject matter that is proposed for insurance.

Example

The proposer is required to state if it is:

i. A private car [with its identification like engine number, chassis number, registration number] or
ii. A residential house [with its full address and identification numbers] or
iii. An overseas travel [by whom, when, to which country, for what purpose] or
iv. A person's health [with person's name, address and identification] etc. depending on the case

v. **Sum insured** indicates limit of liability of the insurer under the policy and has to be indicated in all proposal forms.

Example

In case of property insurance, it is the monetary value of the subject matter proposed for insurance. For health, it could be the cost of hospital treatment, while for personal accident insurance this could be a fixed amount for loss of life, loss of a limb, or loss of sight due to an accident.

vi. Previous and present insurance

The proposer is required to inform the details about his previous insurances to the insurer. This is to understand his insurance history. In some markets there are systems by which insurers confidentially share data about the insured.

The proposer is also required to state whether any insurer had declined his proposal, imposed special conditions, required an increased premium at renewal or refused to renew or cancelled the policy.

Details of current insurance with any other insurer including the names of the insurers are also required to be disclosed. Especially in property insurance, there is a chance that insured may take policies from different insurers and when a loss happens, claim from more than one insurer. This information is required to ensure that the principle of contribution is applied so that the insured is indemnified and does not gain/profit due to multiple insurance policies for the same risk.

Further, in personal accident insurance an insurer would like to restrict the amount of coverage (sum insured) depending on the sum insured under other PA policies taken by the same insured.

Exercise

Look up references to the principles of insurance in the previous chapters and try to connect how indemnity, contribution, utmost good-faith, disclosure are practically applied in the design of the proposal form.

A sample each of a motor and fire proposal form is given in Annexure A and B.

Please study the proposal forms carefully and understand the implications of the contents of the proposal form and their relevance to insurance contracts.

vii. Loss experience

The proposer is asked to declare full details of all losses suffered by him / her, whether or not they were insured. This will give the insurer information about the subject matter of insurance and how the insured has managed the risk in the past. Underwriters can understand the risk better from such answers and decide on conducting risk inspections or collecting further details.

viii. Declaration by insured

As the purpose of the proposal form is to provide all material information to the insurers, the form **includes a declaration by the insured that the answers are true and accurate and he agrees that the form shall be the basis of the insurance contract.** Any wrong answer will give the right to insurers to avoid the contract. Other sections common to all proposal forms relate to **signature, date and in some cases agent's recommendation.**

ix. Where a proposal form is not used, the insurer shall record the information obtained orally or in writing, and confirm it within a period of 15 days thereof with, the proposer and incorporate the information in its cover note or policy. The onus of proof shall rest with the insurer in respect of any information not so recorded, where the insurer claims that the proposer suppressed any material information or provided misleading or false information on any matter material to the grant of a cover.

It means **the insurance company has a duty to record all the information received even orally, which the agent has to keep in mind by way of follow up.**

2. Role of intermediary

The intermediary has a responsibility towards both parties i.e. insured and insurer

An agent or a broker, who acts as the intermediary between the insurance company and the insured has the responsibility to ensure all material information about the risk is provided by the insured to insurer.

IRDA regulation provides that intermediary has responsibility towards prospect.

Important

Duty of an intermediary towards prospect

IRDA regulation states that "An insurer or its agent or other intermediary shall provide all material information in respect of a proposed cover to the prospect

to enable the prospect to decide on the best cover that would be in his or her interest

Where the prospect depends upon the advice of the insurer or his agent or an insurance intermediary, such a person must advise the prospect dispassionately.

Where, for any reason, the proposal and other connected papers are not filled by the prospect, a certificate may be incorporated at the end of proposal form from the prospect that the contents of the form and documents have been fully explained to him and that he has fully understood the significance of the proposed contract."

Test Yourself 9

What is the significance of the principle of contribution?

I. It ensures that the insured also contributes a certain portion of the claim along with the insurer
II. It ensures that all the insured who are a part of the pool, contribute to the claim made by a participant of the pool, in the proportion of the premium paid by them
III. It ensures that multiple insurers covering the same subject matter; come together and contribute the claim amount in proportion to their exposure to the subject matter
IV. It ensures that the premium is contributed by the insured in equal installments over the year.

B. Acceptance of the proposal (underwriting)

We have seen that a completed proposal form broadly gives the following information:

- ✓ Details of the insured
- ✓ Details of the subject matter
- ✓ Type of cover required
- ✓ Details of the physical features both positive and negative - including type and quality of construction, age, presence of firefighting equipment's, the type of security etc.,
- ✓ Previous history of insurance and loss

The insurer may also arrange for pre-inspection survey of the risk before acceptance, depending on the nature and value of the risk. Based on the information available in the proposal and in the risk inspection report, additional questionnaire and other documents, the insurer takes the decision. The insurer then decides about the rate to be applied to the risk factor and calculates the premium based on various parameters, which is then conveyed to the insured.

Proposals are processed by the insurer with speed and efficiency and all decisions thereof are communicated by it in writing within a reasonable period.

Definition

Underwriting: As per guidelines, the company has to process the proposal within 15 days' time. The agent is expected to keep track of these timelines, follow up internally and communicate with the prospect / insured as and when required by way of customer service. This entire process of scrutinizing the proposal and deciding about acceptance is known as underwriting.

Test Yourself 2

As per guidelines, an insurance company has to process an insurance proposal within _____.

I. 7 days
II. 15 days
III. 30 days
IV. 45 days

C. Premium receipt

Definition

Premium is the consideration or amount paid by the insured to the insurer for insuring the subject matter of insurance, under a contract of insurance.

3. Payment of Premium in Advance (Section 64 VB of Insurance Act, 1938)
As per Insurance Act, **premium is to be paid in advance, before the inception date of the insurance contract.** This is an important provision, which ensures that only when the premium is received by the insurance company, a valid insurance contract can be completed and the risk can be assumed by the insurance company. This section is a special feature of non-life insurance industry in India.

Important

a) Section 64 VB of the Insurance Act-1938 provides that no insurer shall assume any risk unless and until the premium is received in advance or is guaranteed to be paid or a deposit is made in advance in the prescribed manner

b) Where an insurance agent collects a premium on a policy of insurance on behalf of an insurer, he shall deposit with or dispatch by post to the insurer the premium so collected in full without deduction of his commission within twenty-four hours of the collection excluding bank and postal holidays.

c) It is also provided that the risk may be assumed only from the date on which the premium has been paid in cash or by cheque.

d) Where the premium is tendered by postal or money order or cheque sent by post, the risk may be assumed on the date on which the money order is booked or the cheque is posted as the case may be.

e) Any refund of premium which may become due to an insured on account of the cancellation of policy or alteration in its terms and conditions or otherwise, shall be paid by the insurer directly to the insured by a crossed or order cheque or by postal / money order and a proper receipt shall be obtained by the insurer from the insured, and such refund shall in no case be credited to the account of the agent.

There are exceptions to the above pre-condition payment of premium, provided in the Insurance Rules 58 and 59.

4. Method of payment of premium

Important

The premium to be paid by any person proposing to take an insurance policy or by the policyholder to an insurer may be made in any one or more of the following methods:

a) Cash

b) Any recognised banking negotiable instrument such as cheques, demand drafts, pay order, banker's cheques drawn on any schedule bank in India;

c) Postal money order;

d) Credit or debit cards;

e) Bank guarantee or cash deposit;

f) Internet;

g) E-transfer

h) Direct credits via standing instruction of proposer or the policyholder or the life insured through bank transfers;

i) Any other method or payment as may be approved by the Authority from time to time;

As per IRDA Regulations, in case the proposer / policyholder opts for premium payment through net banking or credit / debit card, the payment must be made only through net banking account or credit / debit card issued on the name of such proposer / policyholder.

Test Yourself 3

In case the premium payment is made by cheque, then which of the below statement will hold true?

I. The risk may be assumed on the date on which the cheque is posted
II. The risk may be assumed on the date on which the cheque is deposited by the insurance company
III. The risk may be assumed on the date on which the cheque is received by the insurance company
IV. The risk may be assumed on the date on which the cheque is issued by the proposer

D. Cover Notes / Certificate of Insurance / Policy Document

After underwriting is completed it may take some time before the policy is issued. **Pending the preparation of the policy or when the negotiations for insurance are in progress and it is necessary to provide cover on a provisional basis or when the premises are being inspected for determining the actual rate applicable,** a cover note is issued to confirm protection under the policy. It gives description of cover. Sometimes, insurers issue a letter confirming the provisional insurance cover instead of a cover note.

Although the cover note is not stamped, the wording of the cover note makes it clear that it is subject to the usual terms and conditions of the insurers' policy for the class of insurance concerned. If the risk is governed by any warranties, then the cover note would state that the insurance is subject to such warranties. The cover note is also made subject to special clauses, if applicable e.g. Agreed Bank Clause, Declaration Clause etc.

A cover note would incorporate the following:

a) Name and address of insured

b) Sum insured

c) Period of insurance

d) Risk covered

e) Rate and premium: if rate is not known, the provisional premium

f) **Description of the risk covered**: for example a fire cover note would indicate identification particulars of the building, its construction and occupancy.

g) Serial number of the cover note

h) Date of issue

i) **Validity of cover note** is usually for a period of a fortnight and rarely up to 60 days

Cover notes are used predominantly in marine and motor classes of business.

1. Marine Cover Notes

These are normally issued when details required for the issue of policy such as name of the steamer, number of packages, or exact value etc. are not known. Even in respect of exports, a cover note may be issued e.g. a certain quantity of cargo meant for shipment is sent by the exporter to the docks. It may happen that, owing to difficulty of securing adequate shipping space, shipment of the

cargo by the intended vessel does not take place. The quantity therefore, that may be sent by a particular vessel cannot be known. In the circumstances, a cover note may be required which is to be followed subsequently by the issue of regular policy when full details are available and made known to the insurance company.

Marine cover note may be worded along the following lines:

i. Marine Cover Note Number
ii. Date of issue
iii. Name of the insured
iv. Valid up to

As requested you are hereby held covered subject to usual conditions of the company's policy to the extent of Rs. _____.

a) **Clauses:** Institute Cargo Clauses A, B or C including War SRCC risks as per Institute Clauses, but subject to 7 days' notice of cancellation.

b) **Conditions:** Details of shipment to be supplied on receipt of shipping documents for issue of policy. In the event of loss or damage prior to declaration and / or shipment on board the steamer, it is hereby agreed that the basis of valuation shall be prime cost of the goods plus charges actually incurred and for which the assured is liable.

With regard to inland transit normally all relevant data required for issue of policy are available and therefore a cover note is rarely required. There may however, be some occasions when cover notes are issued and substituted later on by policies containing full description of the cargo, transit etc.

2. Motor Cover Notes

These are to be issued in the form prescribed by the respective companies the operative clause of a motor cover note may read as follows:

"The insured described in the form, referred to below, having proposed for insurance in respect of the Motor Vehicle(s) described therein and having paid the sum of Rs….as premium the risk is hereby held covered under the terms of the company's usual form of……Policy applicable thereto (subject to any Special Conditions mentioned below) unless the cover be terminated by the Company by notice in writing in which case the insurance will thereupon cease and a proportionate part of the premium otherwise payable for such insurance will be charged for the time the company had been on risk."

The Motor Cover Note generally contains the following particulars:

a) Registration mark and number, or description of the vehicles insured / cubic capacity / carrying capacity / make / year of manufacture, engine number, chassis number
b) Name and address of the insured

c) Effective date and time of commencement of insurance for the purpose of the Act. Time……, Date……

d) Date of expiry of insurance

e) Persons or classes of persons entitled to drive

f) Limitations as to use

g) Additional risks, if any

The Motor Cover Note incorporates a certificate to the effect that it is issued in accordance with the provisions of Chapters X and XI of the Motor Vehicles Act, 1988.

Important

The validity of the Cover Note may be extended for a further period of 15 days at a time, but in, but in no case the total period of validity of a Cover Note shall exceed two months.

Note: The wordings of the cover note may vary from insurer to insurer

Use of cover notes is being discouraged by most companies. Present day technology facilitates issuance of policy document immediately.

3. Certificate of Insurance – Motor Insurance

A certificate of insurance provides existence of insurance in cases where proof may be required. For instance in motor insurance, in addition to the policy, a certificate of insurance is issued as required by the Motor Vehicles Act. **This certificate provides evidence of insurance to the Police and Registration Authorities.** A specimen certificate for private cars is reproduced below, showing salient features.

MOTOR VEHICLES ACT, 1988
CERTIFICATE OF INSURANCE

Certificate No. Policy No.

1. Registration mark and Number, Place of registration, Engine No. / Chassis No. / Make / Year of manufacture.
2. Type of Body / C.C / Seating capacity / Net Premium / Name of Registration Authority,
3. Geographical area – India. `
4. Insured declared value (IDV)
5. Name and address of the Insured, Business or profession.

6. Effective date of commencement of Insurance for the purpose of the Act. From……. 'O' clock on ……

7. Date of expiry of insurance: midnight on ……

8. Persons or classes of persons entitled to drive.

Any of the following:
(a) The insured:
(b) Any other person who is driving on the insured's order or with his permission

Provided that the person driving holds an effective driving license at the time of the accident and is not disqualified from holding or obtaining such a license. Provided also that the person holding an effective learner's license may also drive the vehicle and such a person satisfies the requirement of Rule 3 of Central Motor Vehicles Rules 1989.

LIMITATIONS AS TO USE

The policy covers use for any purpose other than:
(a) Hire or reward;
(b) Carriage of goods (other than personal luggage)
(c) Organised racing,
(d) Race making,
(e) Speed testing
(f) Reliability Trials
(g) Any purpose in connection with Motor Trade.

I/we hereby certify that the Policy to which this Certificate relates as well as this Certificate of Insurance are issued in accordance with the provisions of Chapter X and Chapter XI of the Motor Vehicles Act, 1988.
Examined.....

(Authorized Insurer)

Motor certificate of Insurance is required to be carried in the vehicle at all times for the scrutiny of the relevant authorities.

4. Policy Document

The policy is a formal document which provides an evidence of the contract of insurance. This document has to be stamped in accordance with the provisions of the Indian Stamp Act, 1899.

A general insurance policy usually contains:

a) The name(s) and address(es) of the insured and any other person having insurable interest in the subject matter;
b) Full description of the property or interest insured;
c) The location/s of the property or interest insured under the policy and where appropriate, with respective insured values;

d) Period of insurance;
e) Sums insured;
f) Perils covered and exclusions ;
g) Any excess / deductible applicable;
h) Premium payable and where the premium is provisional subject to adjustment, the basis of adjustment of premium ;
i) Policy terms, conditions and warranties;
j) Action to be taken by the insured upon occurrence of a contingency likely to give rise to a claim under the policy;
k) The obligations of the insured in relation to the subject-matter of insurance upon occurrence of an event giving rise to a claim and the rights of the insurer in the circumstances;
l) Any special conditions ;
m) Provision for cancellation of the policy on grounds of misrepresentation, fraud, non-disclosure of material facts or non-cooperation of the insured;
n) The address of the insurer to which all communications in respect of the policy should be sent;
o) The details of the riders if any;
p) Details of grievance redressal mechanism and address of ombudsman

Every insurer has to inform and keep (the insured) informed periodically on the requirements to be fulfilled by the insured regarding lodging of a claim arising in terms of the policy and the procedures to be followed by him to enable the insurer to settle a claim early.

Test Yourself 4

Which of the below statement is true with regards to cover notes?

I. Cover notes are predominantly used in life insurance
II. Cover notes are predominantly used in all classes of general insurance
III. Cover notes are predominantly used in health insurance
IV. Cover notes are predominantly used in marine and motor classes of general insurance

E. Warranties

Warranties are used in an insurance contract to limit the liability of the insurer under a contract. Insurers incorporate appropriate warranties to reduce the hazard. With a warranty, one party to the insurance contract, the insured, undertakes certain obligations that need to be complied within a certain period of time and the liability of the insurer depends on the insured's compliance with these obligations. Warranties play an essential role in managing and improving the risk.

A warranty is a condition expressly stated in the policy which has to be literally complied with for validity of the contract. Warranty is not a separate document. It is part of both cover notes and policy document. It is a condition precedent to the contract. It must be observed and complied with strictly and literally, irrespective of the fact whether it is material to the risk or not. If a warranty is breached, the policy becomes voidable at the option of the insurers even when it is clearly established that the breach has not caused or contributed to a particular loss. However, in practice, if the breach of warranty is of a purely technical nature and does not, in any way, contribute to or aggravate the loss, (losses can be treated as non-standard claims and settled) insurers at their discretion may process the claims according to norms and guidelines as per company policy.

1. **Fire Insurances warranties are as given below**

Warranted, that no hazards goods shall be stored in the insured premises during the currency of policy.

Silent Risk: Warranted that no manufacturing activity is carried out in the insured premises for consecutive period of 30 days or more.

Cigarette Filter Manufacturing: Warranted that no solvents having flash point below 30^0C are used/stored in the premises

2. In **Marine Insurance, a warranty** is defined as follows: "a promissory warranty, there is to say, a warranty by which the assured undertake that some particular thing shall or shall not be done, or that some condition will be fulfilled, or whereby he affirms or negatives the existence of a particular state of facts"

In **Marine Cargo Insurance, a warranty** is inserted to the effect that goods (e.g. tea) are packed in tin-lined cases. In **Marine Hull insurance by inserting a warranty** that the insured vessel will not navigate in a certain area, gives an idea to the insurer about the extent of risk he has agreed to provide cover for. If the warranty is breached, the risk agreed to initially is altered and the insurer is allowed to discharge himself from further liability from the date of breach

3. In **Burglary Insurance**, it is warranted that the property is guarded by a watchman for twenty four hours. The rates, terms and conditions of the

policy continue to be the same only if the warranties attached to the policy are complied with.

Test Yourself 5

Which of the below statement is correct with regards to a warranty?

I. A warranty is a condition which is implied without being stated in the policy
II. A warranty is a condition expressly stated in the policy
III. A warranty is a condition expressly stated in the policy and communicated to the insured separately and not as part of the policy document
IV. If a warranty is breached, the claim can still be paid if it is not material to the risk

F. Endorsements

It is the practice of insurers to issue policies in a standard form; covering certain perils and excluding certain others.

Definition

If certain terms and conditions of the policy need to be modified at the time of issuance, it is done by setting out the amendments / changes through a document called endorsement.

It is attached to the policy and forms part of it. The policy and the endorsement together constitute the evidence of the contract. Endorsements may also be issued during the currency of the policy to record changes / amendments.

Whenever material information changes, the insured has to advice the insurance company who will take note of this and incorporate the same as part of the insurance contract through the endorsement.
Endorsements normally required under a policy related to:

a) Variations /changes in sum insured

b) Change of insurable interest by way of sale, mortgage, etc.

c) Extension of insurance to cover additional perils / extension of policy period

d) Change in risk, e.g. change of construction, or occupancy of the building in fire insurance

e) Transfer of property to another location

f) Cancellation of insurance

g) Change in name or address etc.

Specimen

For the purpose of illustration, specimen wordings of some endorsements are reproduced below:

Cancellation

At the request of the insured the insurance by this Policy is hereby declared to be cancelled as from ……. The insurance having been in force for a period over ……. Months, no refund is due to the Insured.

Increase in Stock Value Cover:

"The Insured having advised that the stock covered by this policy has been increased it is hereby agreed that the sum insured is accordingly altered to Rs..... discussed as follows:

On (Describe) Rs.
On (Describe) Rs.

In consideration whereof an additional premium is hereby charged.
Further annual premium Rs…….

The total insurance now stands at Rs …….

Subject otherwise to the terms, provisions and conditions of this policy.

Extension of cover to include extraneous peril in a Marine Policy

At the request of the insured, it is hereby agreed to include the risks of breakage under the above policy.

In consideration, thereof an additional premium as under is charged to the insured on Rs.

Changes in Mode of Carriage

The assured having declared that out of the consignment under the above policy 2 barrels perfumery valued at Rs. …… have been shipped on deck, it is hereby agreed to cover the same against jettison and washing overboard.

In consideration, thereof, an additional premium as under is charged to the assured.

Additional premium…… Rs ……

Test Yourself 6

If certain terms and conditions of the policy need to be modified at the time of issuance, it is done by setting out the amendments through _____.

V. Warranty
VI. Endorsement
VII. Alteration
VIII. Modifications are not possible

G. Interpretation of policies

Contracts of insurance are expressed in writing and the insurance policy wordings are drafted by insurers. These policies have to be interpreted according to certain well-defined rules of construction or interpretation which have been established by various courts. **The most important rule of construction is that the intention of the parties must prevail and this intention is to be looked for in the policy itself.** If the policy is issued in an ambiguous manner, it will be interpreted by the courts in favour of the insured and against the insurer on the general principle that the policy was drafted by the latter.

Policy wordings are understood and interpreted as per the following rules:

a) An express condition overrides an implied condition except where there is inconsistency in doing so.

b) In the event of a contradiction in terms between the standard printed policy form and the typed or handwritten parts, the typed or handwritten part is deemed to express the intention of the parties in the particular contract, and their meaning will overrule those of the original printed words.

c) If an endorsement contradicts other parts of the contract the meaning of the endorsement will prevail as it is the later document.

d) Clauses in italics over-ride the ordinary printed wording where they are inconsistent.

e) Clauses printed or typed in the margin of the policy are to be given more importance than the wording within the body of the policy.

f) Clauses attached or pasted to the policy override both marginal clauses and the clauses in the body of the policy.

g) Printed wording is over-ridden by typewritten wording or wording impressed by an inked rubber stamp.

h) Handwriting takes precedence over typed or impressed wording.

i) Finally, the ordinary rules of grammar and punctuation are applied if there is any ambiguity or lack of clarity.

Important

1. Construction of policies

An insurance policy is evidence of a commercial contract and the general rules of construction and interpretation adopted by courts apply to insurance contracts as in the case of other contracts.

The principal rule of construction is that the intention of the parties of the contract must prevail, that intention must be gathered from the policy document itself and the proposal form, clauses, endorsements, warranties etc. attached to it and forming a part of the contract.

2. Meaning of wordings

The words used are to be construed in their ordinary and popular sense. **The meaning to be used for words is the meaning that the ordinary man in the street would construe. Thus, "fire" means flame or actual burning.**

On the other hand, **words which have a common business or trade meaning will be construed with that meaning unless the context of the sentence indicates otherwise**. Where words are defined by statute, the meaning of that definition will be used, such as "theft" as in the Indian Penal Code.

Many words used in insurance policies have been the subject of previous legal decisions and those decisions of a higher court will be binding on a lower court decision. Technical terms must always be given their technical meaning, unless there is an indication to the contrary.

H. Renewal Notice

Most of the non-life insurance policies are insured on annual basis.

Although there is no legal obligation on the part of insurers to advise the insured that his policy is due to expire on a particular date, yet as a matter of courtesy and healthy business practice, insurers issue a renewal notice in advance of the date of expiry, inviting renewal of the policy. The notice incorporates all the relevant particulars of the policy such as sum insured, the annual premium, etc. It is also the practice to include a note advising the insured that he should intimate any material alterations in the risk.

In motor renewal notice, for example, the insured's attention is to be drawn to revise the sum insured (i.e. the insured's declared value of the vehicle) in the light of current requirements

The insured's attention is also to be invited to the statutory provision that no risk can be assumed unless the premium is paid in advance.

Test Yourself 7

Which of the below statement is correct with regards to renewal notice?

I. As per regulations there is a legal obligation on insurers to send a renewal notice to insured, 30 days before the expiry of the policy
II. As per regulations there is a legal obligation on insurers to send a renewal notice to insured, 15 days before the expiry of the policy
III. As per regulations there is a legal obligation on insurers to send a renewal notice to insured, 7 days before the expiry of the policy
IV. As per regulations there is no legal obligation on insurers to send a renewal notice to insured before the expiry of the policy

Summary

a) The first stage of documentation is essentially the proposal forms through which the insured informs about herself

b) The duty of disclosure of material information arises prior to the inception of the policy, and continues even after the conclusion of the contract

c) Insurance companies usually add a declaration at the end of the Proposal form to be signed by the insurer

d) Elements of a proposal form include:

   i. Proposer's name in full
   ii. Proposer's address and contact details
   iii. Proposer's profession, occupation or business
   iv. Details and identity of the subject matter of insurance
   v. Sum insured
   vi. Previous and present insurance
   vii. Loss experience
   viii. Declaration by the insured

e) An agent, who acts as the intermediary, has the responsibility to ensure all material information about the risk is provided by the insured to insurer.

f) The process of scrutinising the proposal and deciding about acceptance is known as underwriting.

g) Premium is the consideration or amount paid by the insured to the insurer for insuring the subject matter of insurance, under a contract of insurance.

h) Payment of premium can be made by cash, any recognised banking negotiable instrument, postal money order, credit or debit card, internet, e-transfer, direct credit or any other method approved by authority from time to time.

i) A cover note is issued when preparation of policy is pending or when negotiations for insurance are in progress and it is necessary to provide insurance cover on provisional basis.

j) Cover notes are used predominantly in marine and motor classes of business.

k) A certificate of insurance provides existence of insurance in cases where proof may be required

l) The policy is a formal document which provides an evidence of the contract of insurance.

m) A warranty is a condition expressly stated in the policy which has to be literally complied with for validity of the contract.

n) If certain terms and conditions of the policy need to be modified at the time of issuance, it is done by setting out the amendments / changes through a document called endorsement.

o) The most important rule of construction is that the intention of the parties must prevail and this intention is to be looked for in the policy itself.

Key Terms

a) Policy form
b) Advance payment of premium
c) Cover note
d) Certificate of Insurance
e) Renewal notice
f) Warranty

Answers to Test Yourself

Answer 1

The correct option is III.

The principle of contribution ensures that multiple insurers covering the same subject matter; come together and contribute the claim amount in proportion to their exposure to the subject matter

Answer 2

The correct option is II.

As per guidelines, an insurance company has to process an insurance proposal within 15 days.

Answer 3

The correct option is I.

In case the premium payment is made by cheque, then the risk may be assumed on the date on which the cheque is posted.

Answer 4

The correct option answer is IV.

Cover notes are predominantly used in marine and motor classes of general insurance.

Answer 5

The correct option is II.

A warranty is a condition expressly stated in the policy.

Answer 6

The correct option is II.

If certain terms and conditions of the policy need to be modified at the time of issuance, it is done by setting out the amendments through endorsement.

Answer 7

The correct option is IV.

As per regulations there is no legal obligation on insurers to send a renewal notice to insured before the expiry of the policy.

Self-Examination Questions

Question 1

_____ is the maximum limit of liability of insurer under the policy

I. Sum insured
II. Premium
III. Surrender value
IV. Amount of loss

Question 2

_____ is the consideration or price paid by insured under a contract

I. Claim amount
II. Surrender value
III. Maturity amount
IV. Premium

Question 3

A document which provides an evidence of contract of insurance is called_____

I. Policy
II. Cover note
III. Endorsement
IV. Certificate of insurance

Question 4

The duty of disclosure arises

I. Prior to inception of the policy
II. After inception of the policy
III. Prior to inception and continues during the policy
IV. There is no such duty

Question 5

Material fact

I. Is the value of all material covered in a policy
II. Not important for assessing the risk
III. Is important as it influences the decision of the underwriter
IV. Is not important as it has no bearing on the decision of the underwriter

Question 6

Fire proposal seeks to know

I. Process of manufacture
II. Details of material stored
III. Construction of building
IV. All the above

Question 7

Premium cannot be received

I. In cash
II. By cheque
III. By promissory note
IV. By credit card

Question 8

The certificate of Motor Insurance

I. Is not mandatory
II. Has to be kept with self always
III. Has to be kept in the car always
IV. Has to be kept in the bank locker

Question 9

A warranty

I. Is a condition expressly stated in the policy
II. Has to be complied with
III. Both a and b
IV. None of the above

Question 10

Renewal Notice for Motor insurance is issued by

I. The Insured before expiry of the policy
II. The Insurer before expiry of the policy
III. The Insured after expiry of the policy
IV. The Insurer after expiry of the policy

Answers to Self-Examination Questions

Answer 1

The correct option is I.

Sum insured is the maximum limit of liability of insurer under the policy.

Answer 2

The correct option is IV.

Premium is the consideration or price paid by insured under a contract.

Answer 3

The correct option is I.

A document which provides an evidence of contract of insurance is called policy.

Answer 4
The correct option is III.

The duty of disclosure arises prior to the inception and continues even during the policy

Answer 5

The correct option is III.

Material fact is important as it influences the decision of the underwriter.

Answer 6

The correct option is IV.

Fire proposal seeks to know process of manufacture, details of material stored and construction of the building.

Answer 7

The correct option is III

Premium cannot be received by promissory note.

Answer 8

The correct option is III.

The certificate of Motor Insurance has to be kept in car always.

Answer 9

The correct option is III

A warranty is a condition expressly stated in a policy and has to be complied with.

Answer 10

The correct option is II.

Renewal Notice for Motor insurance is issued by the insurer before expiry of the policy

Annexure- A

MOTOR INSURANCE PROPOSAL FORM
PRIVATECAR /TWOWHEELER- PACKAGE POLICY

Proposer's Name		
Address for Correspondence		
Telephone & Fax Number		Mobile No:
E-mail Address		
Bank Account No. (SB/ Current)		PAN No:
HPA/Hypothecation		
Type of Policy Required	**Package policy**	
Period of Insurance	From Time..... Date :	To

Identification of Insured

DetailsofVehicle

Regn.No.	Eng.No. & Chas. No.	Year of Make	Make& Model / Type of Body	Cubic Capacity	Seating Capacity	Colour	Fuel Used

Correct Identification of the vehicle insured

Registering Authority - Name and location:

Value of the Vehicle:

Invoice Value	Electric / Electronic Accessories	Non-Electrical Accessories	Side Car/Trailer	LPG/CNG Kit	Total Value	IDV

This is the basis for claim settlement and premium

History of the Vehicle

Previous Policy No	Type of Cover	Name of Insurer & Address	Entitlement of No Claim Bonus	Date of Policy Expiry	Claim Experience for last 3 years	Date of first Purchase & Regn.

Underwriting factors - bearing on rating

Usage of the Vehicle:

Purpose of Use	Details of Vehicle Parking	Details of Driver	Average km run in a year
Pleasure	Covered Garage	Self	
Professional	Uncovered Garage	Paid Driver	
Business/Trade	Within the Compound	Relatives	
Corporate	Roadside	Friends	

Helps insurer to understand the risk accepted

To know Risk Mitigation / Adverse Risk

Discounts & Loading:

Voluntary Excess: Do you wish to Opt for Voluntary Excess over and above the Compulsory Policy Excess	Yes/No - If yes, please specify the amount Two Wheeler - Rs.500/700/1000/1500/3000 Private
Are you a member of Automobile Association of India	Yes/No If yes, please State: 1. Name of Association 2. Membership No: Date of Expiry :
Is the vehicle fitted with the any Anti-Theft Device approved by ARAI	Yes/No If yes, attach certificate of installation issued by AASI
Whether the vehicle is driven by non-conventional source	Yes/No If yes, please specify the details
Whether the vehicle is driven by Bi--fuel kit / Fiber Glass Tank Fitted	Yes/No If yes, please specify the details
Do you wish to restrict TPPD cover to Statutory limit of Rs.6000/-only	Yes / No

Underwriting factors considered for loading and discount as per company policy

Additional covers required

Theft of Accessories (Two wheelers only)	
Legal Liability to Driver	
PA for paid driver	

Compulsory: Personal Accident Cover for Owner Driver

Personal Accident Cover for Owner Driver is compulsory. Please give details of nomination :

(a) Name of the Nominee & Age:
(b) Relationship :
(c) Name of the Appointee (If Nominee is a Minor) :
(d) Relationship to the Nominee :

Additional coverage subject to additional premium

(Note: 1. Personal Accident cover for Owner Driver is compulsory for Sum Insured of Rs.1, 00,000/- for Two Wheelers and Rs.2, 00,000/- for Private Cars.

2. Compulsory PA cover to owner driver cannot be granted where a vehicle is owned by a company, a partnership firm or a similar body corporate or where the owner-driver does not hold an effective driving license)

P.A. Cover for Named Persons

Named Occupants PA Cover for	(IMT-15)	Do you wish to include Personal Accident cover for named persons?			
		Name	CSI Opted (Rs.)	Nominee	Relationship
		1)			
		2)			
		3)			
		YES / NO, If YES, give name and Capital Sum Insured (CSI) opted for: (Note: The maximum CSI available per person is Rs.2 Lakhs in case of Private Cars and Rs.1 Lakh in the case of Motorized Two Wheelers)			

P A cover for unnamed Persons/Pillion / unnamed passengers	
Add on Cover	
Nil Depreciation	
Courtesy Car	
Medical Expenses	
Personal Effects	

Information which may have a bearing on rating, also for the purpose of some statistics

Other Details

Add on Covers continued

Whether use of vehicle is limited to own premises	Yes/No
Whether the vehicle belongs to foreign embassy	Yes/No
Whether the Car is certified as Vintage Car	Yes/No
Whether the vehicle is designed for use of blind/handicapped persons	Yes/No If yes, please specify the details of Endorsement by RTA
Whether the vehicle is used for Driving Tuitions	Yes/No
Whether extension of Geographical Area is required	Nepal, Bangladesh, Bhutan, Maldives, Pakistan, Sri Lanka.

Do you wish to have a One Page Policy? Yes / No

Based on principle of utmost good faith

DECLARATION BY THE INSURED

I/We hereby declare that the Statements made by me/us in this Proposal Form are true to the best of my/our knowledge and belief and I/We hereby agree that his declaration shall form the basis of the contract between me/us and the _____

I/We also hereby declare that any additions or alterations carried out after the submission of this Proposal Form then the same would be conveyed to the Insurers immediately.

I/we wish to confirm that there has been no accident to my/our vehicle since the last Policy Expiry Date till now. I/We confirm that I/We have remitted the premium at.....on.....

For the insurance of the above vehicle with you. It is understood and agreed that you have no liability or whatsoever nature for any Loss/Damage/Liability arising out of any accident earlier to..... (time).

I/We declare that the vehicle is in perfect state and roadworthy condition.

Place:

Date :

SIGNATURE OF THE PROPOSER

Annexure - B

PROPOSAL FORM

(The issue of this form is not to be taken as an admission of liability)

STANDARD FIRE & SPECIAL PERILS POLICY

Acceptance of this proposal is subject to the rules & regulations of the Company. The property is not covered until the proposal is accepted and premium paid.

Agent_____ **Client Code:**

DETAILS ABOUT PROPOSER → **Helps to identify the proposer.**

1. **Name of proposer**

Identification of the Insured

2. **Address of proposer** → **Gives the address for communication and cheque payment in case of claims**

Tel No:- **Fax No :-**

(Mobile): **(E-mail):-**

PUT A √ MARK WHEREVER APPLICABLE

All the questions to be answered completely. In case of shortage of space kindly enclose the information as an annexure:

Business of proposer

Understand the risk

3. **Which is being covered**	Details of the occupancy for rating
4. **Policy to be issued in favour of (List of all the parties who have insurable interest including the financial institutions**	
5. **The risk involved** (Location to be covered) **(Full postal address with pin code)**	Identification of the risks
6. **Period of insurance**	From To
7. **Would you like to delete these perils from the basic cover? talks about coverage issue**	Conscious decision by the Insured regarding coverage required
a. **Storm , flood , tempest , inundation cyclone group of perils**	Yes ☐ No ☐
b. **Riot, Strike , Malicious Damage**	Yes ☐ No ☐
c. **Terrorism cover extension (It can be opted if RSMD is opted)**	Yes ☐ No ☐

Annexure - B

This amount is covered for EQ perils

8. Would you like to cover Plinths & Foundation along with your building?	Yes ☐	No ☐	
Any add on covers a. Architects, Surveyors, & Consulting Engineering Fees (in excess of 3% of the claim amount)	Yes ☐	No ☐	SI =
b. Debris removal (in excess of 1% of claim amount)	Yes ☐	No ☐	SI =
c. Deterioration of stocks in cold storage premises	Yes ☐	No ☐	SI =
i. Due to failure of electricity supply at terminal ends of electric services feeder due to an insured peril	Yes ☐	No ☐	SI =
ii. Due to change in temperature assuring out of loss or damage to cold storage machinery in the insured's premises due to operation of insured peril	Yes ☐	No ☐	SI =
d. Forest Fire	Yes ☐	No ☐	SI =
e. Impact damage due to insured's own vehicle, fork lifts and like & articles dropped there from	Yes ☐	No ☐	SI =
f. Spontaneous Combustion	Yes ☐	No ☐	SI =
g. Omission to Insure additions , alterations or extensions	Yes ☐	No ☐	SI =
h. Earthquake (Fire & Shock)	Yes ☐	No ☐	SI =
i. Spoilage material cover	Yes ☐	No ☐	SI =
j. Leakage and contamination cover	Yes ☐	No ☐	SI =
k. Temporary removal of stocks	Yes ☐	No ☐	SI =
l. Loss of rent	Yes ☐	No ☐	SI =
m. Additional expenses of rent for an alternate accommodation	Yes ☐	No ☐	SI =
n. Start - up expenses	Yes ☐	No ☐	SI =

Conscious decision by Insured to opt for add on covers

To choose only those relevant to the nature of the insured's Business

o. Molten material damage	Yes ☐ No ☐	SI =
9. Whether you have insured the same property with any other insurance company with identical coverage (if so, give details)	Details required for the purpose of applying Principle of contribution	
10. Whether Insurance cover was declined by any other company or imposed any special conditions (if is , give details)	Gives an insight to the underwriter about the quality of the risk	
(Details about loss experience)		
11. Premium / incurred claim details for the past Month excluding the expiring policy period	Premium	Claims
Claims experience is an important factor to rate the risk		

What is the type of Risks COVERED AT THE LOCATION?

Details about proposer's business

12. The Insured property is:	
a. Dwelling, offices, shops, hotels etc.	Occupancy of the risk is the basis of the rate
b. Industrial / manufacturing risks	
c. Storage outside industrial / manufacturing risks	
d. Tanks / gas holders outside industrial / manufacturing risks	
e. Utilities located outside Industrial / manufacturing risks	Nature of risks to decide the basic rate. and coverage's
f. Dwelling, offices, shops, hotels etc.	
13. If used as shop, please declare whether the goods handled include a any goods appearing in the list given below. If Yes, whether the value of such stocks exceeds 5% of total value of value of stocks: 1. Celluloid Goods, 2.Coir Loose, 3.Crackers & Fire Works, 4. Explosive of any kind, 5. Hay / Straw, 6. Hemp, 7. Jute Loose, 8. Matches, 9. Methylated spirit, 10. Nitro - Cellulose, 11. Oils / Ether / Industrial Solvent and other inflammable liquid flashing at and below 32 Deg. C (closed cup Test) , 12. Paints with inflammable base having flash point below 32 Deg. C (closed cup test) other than in sealed tins or drums, 13. Varnishes having a flash point below 32 Deg . C (closed cup test) other than sealed tins or drums,14.Disinfectant liquid and liquid insecticide other than in sealed tins or drums , 15.Vegetable fibers of any kind	
14. If used as warehouse / godown (located outside the factory compound) please give the list of goods stored	
15. If used an Industrial Manufacturing unit , state the details of products manufactured at the location proposed (details block plan showing various facilities to be enclosed)	
16. If used as an Industrial Manufacturing unit, please state whether the factory is working or silent?	

17. Fire Extinguishing Appliances installed	
Please tick in the space below : a. List the various blocks and indicate the type of Portable Extinguishers Protection provide for each block To know better risks feature	☐ Portable Extinguishers ☐ Trailer Pumps ☐ Fire Engine ☐ Hydrant System ☐ Sprinkler System ☐ Fixed Water Spray system Loss minimization measures. Hence, discount may be granted
b. Indicate whether annual maintenance contract for the applia-ces is in force	Yes ☐ No ☐
18. (Building / Machinery / Furniture Fixture & Fitting)	The basis proposed for insurance
a. Market Value basis	Yes ☐ No ☐
b. Reinstatement Value Basis	Yes ☐ No ☐
c. Whether escalation is required	Yes ☐ No ☐
19. Construction Details	
a. Please state material used	
i. Walls	
ii. Floor	
iii. Roof	
b. Height of the Building	Meters _____ Floors _____
c. Age of Building	Less than 5 years ☐ 5-15 years ☐ 15-25 years ☐ Above 25 years ☐

Underwriting

Note: Building having walls and/ or roofs of wooden planks/ thatched leaves and/ or grass/ hay of any kind/ bamboo/ plastic cloth/ asphalt/ Cloth/ canvas/ tarpaulin and the like are trusted as " kutcha " construction

20. Building wise values (Please include the ' Kutcha ' building also in this list give individual value in Rs . against such buildings

Description of block	Age (Yrs)	Height (mts)	Construction Pucca / Kutcha	Sum insured Rs				
				Building including plinth Rs.	Machinery Accessories Rs.	F&F ,office and other equipment Rs.	Stock & stocks -in process** Rs.	Other Property to be Insured Rs.
Total								

Details of each block will give differential rating if applicable

Note: ** Indicates those stocks which are covered on normal basis and do not fall under Serial No. A, B,C and D below

21. Special coverage for stocks only	
Please tick in the box below and give the amount to be insured against each	
A. On Floater Basis:	
Stocks at various locations (Process blocks, warehouses / go downs and/or in open etc.,) can be covered on floater basis under single Sum Insured	
Locations (Postal Address with Pin code	**Amount Rs.**
B. On Declaration Basis	
Stocks which fluctuate in value can be covered on (monthly) declaration basis.	
Locations (Postal Address with Pin code	**Amount Rs.**
Note: Minimum Sum Insured is Rs. 1 Crore, and policy not issued on short period basis. Stocks in process and stocks stored at Railway sidings cannot be covered.	
C. On Floater Declaration Basis:	
Stocks which fluctuate in value as well as stored at various locations under single Sum Insured can be covered on (monthly) floater declaration basis.	
Locations (Postal Address with Pin code	**Amount Rs.**
Note: 1. Minimum Sum insured is Rs. 2 Crores 2. Stocks in process & stocks stored at Railway sidings cannot be covered.	
D. Stocks stored in open (located outside the factory compound)	
Detail of stocks stored in open:	
Locations (Postal Address with Pin code	**Amount Rs.**
E. Tank Farm and Gas Holders (located outside the factory compound)	
Detail of stocks stored in open	
Locations (Postal Address with Pin code	**Amount Rs.**

Basis of cover opted will entail some duties to be carried out by Proposer. Basis for claim settlement

Special warranties will be applicable

Covering the risk and rating properly

Would you like to avail discounts for voluntary deductibles	Yes ☐ No ☐
If answer is yes, indicate the choice of deductible amount	Rs.

DECLARATION BY

Principle of utmost good

I/We hereby declare that the statements made by me in this Proposal Form are true to the best of my/our knowledge and belief and I/We hereby agree that this declaration shall form the basis of the contract between me/us and_____.

If additions or alterations are carried out in the risk proposed after the submission of this form, then the same would be conveyed to the insurers immediately.

Date:
Place:

Signature of Proposer & Seal of the company

Recommendations of Agent:

The following is the copy of section 41 of the Insurance Act 1938
PROHIBITION OF REBATES

1. No Person shall allow or offer to allow either directly as an inducement to any person to take out or renew or continue an insurance in respect of any kind of risk relating to lives or property in India any rebate of the whole or part of the commission payable or any rebate of the premium shown in the policy nor shall any person taking out or renewing or continuing a policy except such rebates as may be allowed in accordance with the published prospectus or tables of the insurer.

2. Any person making default in complying with the provision of this section shall be punishable with a fine, which may extend to five hundred rupees.